

It's based on the P&L. If I am down more than 2 percent month-to-date on any day, I will clear out everything. I wasn't near that point today, but the daily P&L was down more than I wanted to lose, so I liquidated.

How much was that?

\$10 million.

In percentage terms?

A little less than 1 percent. I know that doesn't sound like much compared to most hedge funds, but I am a grinder.

But what did you actually do wrong today?

The stuff that I do just didn't work today.

But that's not doing something wrong. There's a big difference between losing on your trades and doing something wrong.

What I did wrong was this. I had a number in my mind for the year where I wanted to be. I wanted to get to about 14 percent gross for the year, which would get me above 10 percent net. I was close to there at the start of the month [November]. I kept pushing and pushing, and I just couldn't make any headway.

Was the mistake then pushing harder than justified by the trading opportunities?

Yes.

You run your risk control much tighter than most hedge fund managers. Where does that extreme risk-aversion come from?

I guess it comes from losing so many times early in my career when I didn't have any controls. I just don't want to lose again.

How did you go from trading the XMI to trading other markets?

The volume in the XMI was drying up. So I told Spear Leeds that I wanted to trade other markets, and they let me go ahead. That was when I began doing what I am doing today.

Your trading style is very short term. Do you have any longer-term market views?